GMS WEEKLY

Your Source for Recycling News

March 7th, 2025
Week 10
Volume 270, Issue 1175

Highlights:

- **State of stasis.**
- **Geopolitics.**
- **Sales slow.**
- **Pak active?**
- **Turkish sale?**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"It's tough to get out of bed to do roadwork at 5 a.m. when you've been sleeping in silk pajamas."

– Marvin Hagler

-- MARKET COMMENTARY --

STATIC NOISE!

In the middle of all of the unfolding static, a lot of noise appears to be emanating (and getting louder) with each passing week as politically infused trade wars amongst leading global powers continues to threaten the state of world economies. The unending tit-for-tat tariffs that went into effect this week from America and its allies continued to affect the shipping sector as not only has the U.S. Dollar finally eased against major ship recycling destinations, except (ironically) in Pakistan this week where the Dollar strengthened and broke past another historic record, but ongoing Russian attacks on Ukraine continue also saw Trump threaten further sanctions against Russian banks and exports, which saw WTI crude prices continue to see declines and report another 3% drop even though Russia has suggested that OPEC+ countries would maintain oil output in the interim. Consequently, rates fell, and oil ended the week at USD 67/barrel. In the face of falling oil prices, charter rates continue to climb as Dry Bulk carriers, Capes and even Panamax sectors reported rising rates this week, resulting in the ongoing shortage of tonnage that has been increasingly obvious at the bidding tables of late. Yet, local port positions continue to report healthy arrivals and deliveries from the recent fire sale that saw both Bangladeshi and Indian waterfronts end another week on a busy note.

Meanwhile, following another quiet week of unremarkable activity, recycling markets are also being drug into the state of economic global stasis as Q1 2025 is proving itself to be somewhat of a turbulent time given that over USD 150/LDT has now been wiped off of vessel highs since Jan 2024 where a container breached the now long-forgotten USD 600/LDT mark, and ongoing economic / trade pressures continue to push vessel prices down while hampering sentiments and aggression from the various ship recycling destinations, despite an omnipresent demand permeating at new lows. And even though all the hints of a price correction are mushrooming from most markets, especially as local steel plate prices continue to react to the unfolding tariffs, the ability of ship recyclers to be aggressive is being curtailed at an increasing rate that continues to affect the global residual values of recycling candidates, when compared to the levels witnessed amidst the recent surge in supply back in January, followed by the ongoing and dithered supply since February. And amidst mounting geopolitical pressures, ship recycling sales have slowed to such an extent that most yards are now either concentrating on recycling their recent deliveries, all while tier-2 recyclers lie dormant in wait to snag a new low-priced deal, helping demand stay afloat even if prices remain slippery.

In Bangladesh, increasing protests and political clashes re-emerge, while Indian recyclers fail to maintain the trajectory of their prices leading to a gradual approach to Pakistani levels, which themselves have (inadvertently) rendered this market a touch more active of late and helped them slip into 2nd place. Turkey at the far-end reported no meaningful change despite a surprising sale surfacing this week. Overall, ship recycling yards keen to continue operations are busy upgrading their facilities ahead of the Hong Kong Convention's (HKC) entry into force on 26 June 2025 as the changing documentary requirements and new incoming formalities need to be addressed.

GMS demo rankings / pricing for week 10 of 2025 are on Page 5.

BANGLADESH

FRANTIC AND FANATIC!

Dwindling.

It has been a frantic February in Bangladesh as an ongoing collection of deliveries has been taking place over recent weeks, including this one, given that 9 ships and nearly 100K LDT is still at anchorage / being delivered to their respective recyclers, which is helping domestic ship recycling yards maintain a sense of equilibrium in the middle of another resurging crash in the supply of tonnage. Moreover, fanatic members of the newly formed student-led political party continue to take the law into their own hands, rendering the ability of local law enforcement and even the army, meaningless in the wake of violence and rioting that is on the rise once again as Sheikh Hasina continues her attempts at reviving her political party.

Price cool.

This has seen the security apparatus across the country fail to maintain law-and order while the economy itself continues to face unending hurdles under the interim government where despite foreign personal remittances into the country fattening Bangladesh's treasury reserves across February, interest repayments on the nation's outstanding debt saw reserves take a notable hit and register a sharp decline this week, mercifully coinciding with the ongoing decline in the supply of tonnage that would've otherwise only restricted the ability of those Chattogram Choppers who are / could be in the market for a unit, from securing potential tonnage. The flattened state of local steel plate prices (at USD 529/Ton) has done little to move the pricing needle, especially as the Taka also managed to firm 13 basis points and end the week marginally firmer, at BDT 121.78 against the U.S. Dollar.

Far short…

Meanwhile, as the economy reports marginal improvements as February 2025 winds up, the rate of economic growth fell far short of expectations as local confidence in the interim government remains low, unemployment (resulting in violence) remains high, shortage of loans and financial aid to domestic businesses remain beyond reach, and commodity inflation (especially food and groceries) were responsible for over 51% of domestic inflation, leaving it at a rather troublesome 9.86% - a less than 1% improvement from the period of Dec 2024 – Jan 2025. Yet, this could provide employment opportunities at recycling yards for unemployed workers, especially as infrastructure and yard upgrades are needed at pace and those recyclers without units on their yards still have the opportune time to make the necessary upgrades and stay prepared post June 26th, 2025.

Logger done.

Overall, in the face of minimal deals being concluded into Chattogram, vessels purchased back in January that are now being delivered to their new owners, should keep activity at domestic yards ongoing and the addition of another smaller LDT Chinese owned handy size logger BC that was concluded this week into Bangladesh, should help stagger the momentum ahead as the poor condition SEA WISE (5,533 LDT) managed to fetch a notably diminished USD 420/LT LDT, even though there is a Gadani option wrapped into this deal (not India).

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
SEA WISE	Handy Logger BC	5,533	USD 420/LT LDT

INDIA

FREAKY FEBRUARY!

India has endured a rotten February with declining vessel offers on the back of sentiments being impacted by the ongoing and diminished supply of tonnage that has been drying up rapidly at the bidding tables of late. And as declining offers from India silently help Gadani recyclers dislodge Alang in the market rankings for the #2 spot, the lackluster performance of local buyers continues to deteriorate local sentiments over recent weeks, leaving them at the bottom of the sub-continent ship recycling market rankings. And as forecasted last week, this is expected to get worse for Alang despite the nation's economy reporting positive movements across 2025, including strengthening U.S. – India bilateral trade ties as governments of both countries reportedly struck oil deals on the back of recent Russian sanctions.

Leapfrogged.

Meanwhile, despite the initial hiccup of the tariffs and PM Modi's visit to America, the Indian Rupee still collapsed to its lowest levels against the U.S. Dollar over the last two months. And even though ongoing trade has clearly played its part this week, the Indian Rupee, though severely diminished, marked a serious improvement of 43 basis points against the U.S. Dollar that helped it close the week at INR 87.09. Moreover, despite mounting pressures resulting from tariffs on Chinese products that could potentially see another influx of cheaper steel imports into the country in the coming Quarters, local steel plate prices managed to hold their ground and even make a small recovery of USD 2/Ton, which is noteworthy given that steel levels have declined without remission over 4 straight weeks.

Sharp shock.

This has already seen a minor correction in prices from Alang as anticipated and even though key fundamentals have registered minor improvements this week, there is simply no telling which way these critical elements will move the pricing needled in the coming week(s) and further affect the currently fragile sentiment in Alang. Moreover, even local port position continues to deceive the outsiders' eyes as 8 vessels and over 76K LDT is currently idling at the nation's recycling waterfront or have already felt the sands below their hulls.

Historical highs.

Finally, in the face of improving internal trade and the nation's economic recovery seemingly written on the wall - especially after this year's powerful budget that was designed to help the low-income populous en masse - Alang recyclers are expected to have a tricky end to Q1 and likely even well into Q2, as tonnage scarcity grows, vessel prices face ongoing fundamental pressures, and India loses footing to an otherwise diminished, yet comparatively 'unchanged' Pakistani market that seems to be on the road for another possible fixture.

Loses footing.

NO MARKET SALES REPORTED

PAKISTAN

COME BACK?

Securing lower LDT.

Has Pakistan surprisingly come back into the picture this week once again? Clearly (and as predicted in last week's edition of the GMS Weekly), India's falling prices have elevated Gadani's diminished (yet stable) pricing slide into second place on the market rankings, even shifting the focus of potential owners & cash buyers towards the shores of Pakistan, as has been clearly visible from this week's market fixture into Bangladesh where the vessel surprisingly also has a Gadani redelivery option, not India, highlighting the poorer sentiments that have been emanating from Alang over recent weeks.

Uncertainty on higher.

And although a Pakistani recycler did manage to conclude a vessel back in January followed by its redelivery into Gadani in early February, the last four weeks have tragically ended on an empty note, leaving hungry local recyclers still scavenging for tonnage. Notwithstanding, India's ongoing decline could see some market (or even private) tonnage head towards Gadani shores in the coming week(s), especially if the incoming unit is better suited (geographically) for a WC India / Pakistan range redelivery.

Yet, the economic uncertainty (at large) that has permeated the nation and even the nation's ship recycling sector, which continues affecting the ability of Gadani recyclers to transact large(r) LDT tonnage including some of the big ticket deals that have been making the rounds, especially in the face of strained LC / finance limits with domestic banks that remain in place and continue to detract the abilities of local buyers from securing tonnage despite a semblance of demand (of shifting of industry focus) starting to return to this market once again.

USD 22/Ton drop.

And this comes at a time of weakening fundamentals as not only has the Pakistani Rupee been the only ship recycling destination to lose ground against the U.S. Dollar through an 11 basis point drop that briefly breached the PKR 280 mark and ended the week at PKR 279.82, but local steel plate prices also joined the drop as they fell another USD 11/Ton, ending the week at region USD 629/Ton; a mere USD 100/Ton higher than those currently in Bangladesh and a total USD 22/Ton fall over the last couple of weeks.

June 26th, 2025.

Encouragingly, in the face Pakistan's looming IMF investigations, loan reprieves continue as not only did the UAE government extend the deadline on interest repayments on their loans back in January, but even the Chinese government came through this week providing another year extension on interest repayments that could greatly help the nation's treasury reserves, which themselves have been elevated by an impressive amount of personal foreign remittances, lowering the nation's inflationary numbers to the coveted 3% range. While these remittances may not be infused into non-essential sectors at this time, the comparatively lower capital requirements for yard upgrades (as compared to large LDT ship purchases) should make it easier for the Gadani Gang to obtain the funds needed continue the arduous process of upgrading their facilities in line with HKC standards, ahead of the final entry into force by June 26th this year.

NO MARKET SALES REPORTED

TURKEY

TAKE…1!!

Time twice.

In what seems like a clear unfolding of "even a broken watch can tell the correct time twice", Aliaga recyclers seem to have managed to snag in a juicy private unit as the Greek ferry KRITI II (LDT 12,960 MT) was compellingly concluded (due to existing regulations) at about USD 3.6 million, equating to about USD 277.77/MT – easily about USD 175/Ton lower than those from the sub-continent and that too on a unit this size. This also highlights the fact that even though large LDT juicy units are being proposed to local buyers, EUSRR requirements likely affected the resale price into Aliaga given this is even lower than recent offerings as highlighted in the market rankings. A single sale, while not enough to confirm current levels, will likely set the pace for future potential fixtures.

Fundamentals too, continue keep local recyclers on their toes as weekly jitters that saw import steel levels improve by USD 5/Ton, they have still remained volatile and kept local steel plate prices hanging in the balance. The Lira also managed to miraculously firm a mere 5 basis points against the U.S. Dollar as it closed the week out at TRY 36.49 – although this could be a case of rising tides lift all boats.

For now, as tonnage dries up, so do the chances of Turkish buyers at securing tonnage.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
KRITI II	RoPax	12,960	About 277.77/MT LDT

GMS Weekly – Market Rankings

For Week 10 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	440 / LDT	460 / LDT	470 / LDT
2	Pakistan	**Stable**	435 / LDT	455 / LDT	465 / LDT
3	India	**Weak**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

ODD ONES.

- *Research suggests noise from shipping, oil exploration and other underwater human activities may make it harder for dolphins to communicate and work together.*
- *First introduced by a brand called My-T-Fine in 1918, instant pudding mix — whose key ingredients are sugar and cornstarch — was a product of the post-World War I manufacturing boom.*
- *According to the American Society for the Prevention of Cruelty to Animals, more than 23 million American households — nearly one in five nationwide — acquired a dog or cat during the pandemic.*
- *Every year, hundreds of millions of birds die in the United States from flying into glass.*
- *Wedding rings stem back to the ancient Egyptians, who believed that there was a vena amoris, Latin for "vein of love," in the left hand's fourth finger with a direct route to the heart.*
- *As groundskeeper, George Toma, 94, has prepared the Super Bowl field for 57 straight years. Known as the "Sodfather," he is in the Pro Football Hall of Fame.*
- *New Orleans, a majority Black city, was once the site of the country's largest slave market, where by one estimate more than 135,000 people were bought and sold.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
March 14 - Holi March 28 – Jamat-ul-Wida March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	March 13 – March 18 March 27 – April 05

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 02 – Eid-ul-Fitr	March 14 – March 17 March 29 – April 01

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 23 – Pakistan Day March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

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ALANG - Port Position as of March 07, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	AK Hamburg	2,616	Oil Tanker	Arrived February 28
2	*Athina I*	*14,883*	*Oil Tanker*	*Delivered March 04*
3	Bluefins	12,997	Oil Tanker	Arrived February 22
4	*Driller One (Under Tow)*	*20,664*	*Drill Rig*	*Delivered March 06*
5	*Elan*	*13,395*	*Oil Tanker*	*Delivered March 05*
6	*Iris of Sea*	*2,783*	*General Cargo*	*Delivered March 03*
7	*Kalina*	*5,150*	*General Cargo*	*Delivered March 06*
8	*Talent Blu*	*3,532*	*Bulk Carrier*	*Delivered March 01*
Total Tonnage		**76,020**		

CHATTOGRAM - Port Position as of March 07, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Banglar Jyoti	3,700	Tanker	Arrived February 27
2	Banglar Shourabh	3,700	Tanker	Arrived February 27
3	*East Pioneer*	*10,891*	*Bulk Carrier*	*Delivered March 03*
4	Run Fu	6,978	Bulk Carrier	Arrived February 26
5	*Millenium Leader*	*4,493*	*General Cargo*	*Delivered March 01*
6	*Pia*	*30,454*	*LNG Tanker*	*Delivered March 01*
7	**Three Star**	**7,627**	**Bulk Carrier**	**Arrived January 23**
8	*Wang*	*9,614*	*Bulk Carrier*	*Delivered March 02*
9	*Winnie*	*21,216*	*Bulk Carrier*	*Delivered March 01*
		98,673		

GADANI - Port Position as of March 07, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No vessels reported.		
Total Tonnage		**-**		

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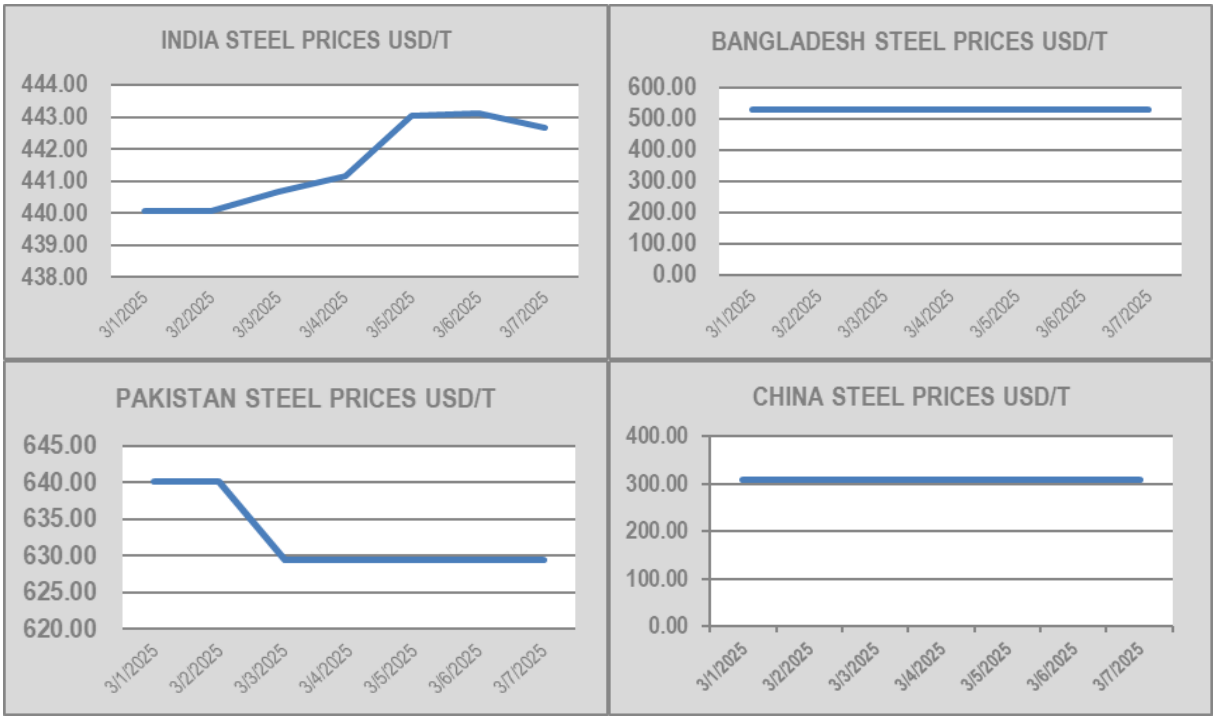
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/1/2025	440.05	38,500.00	640.20	179,000.00	529.41	63,000.00	308.13
3/2/2025	440.05	38,500.00	640.20	179,000.00	529.41	63,000.00	308.13
3/3/2025	440.65	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
3/4/2025	441.16	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
3/5/2025	443.04	38,500.00	629.47	176,000.00	529.41	63,000.00	308.13
3/6/2025	443.12	38,600.00	629.47	176,000.00	529.41	63,000.00	308.13
3/7/2025	442.66	38,600.00	629.47	176,000.00	529.41	63,000.00	308.13



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